Nonstandard Preferences in Labor Supply, Effort, Savings, and Training

Behavioral Labor — Week 2

Teaching deck draft

Central question

- How do nonstandard preferences alter labor supply, effort, savings, and training?
- Week 1 gave the full Behavioral Labor map.
- Week 2 isolates the preference branch before beliefs, expectations, attention, firms, and policy design.
- The discipline remains: preference object, labor margin, identifying variation, welfare.

Bridge from Week 1

Week 1 object	Week 2 narrowing
Benchmark labor choice	Workers choose hours, effort, saving, training, and task completion
Behavioral taxonomy	Focus only on nonstandard preferences
Identification habit	Name the margin and the counterfactual
Welfare caution	Observed choices may not reveal stable welfare rankings

DellaVigna taxonomy: Week 2 highlighted

Branch	Labor interpretation
Nonstandard preferences	**Present bias, commitment demand, risk aversion, reference dependence, reciprocity, fairness**
Nonstandard beliefs	Subjective expectations, perceived returns, optimism, job-search beliefs
Nonstandard decision-making	Attention, salience, complexity, limited consideration, defaults
Responses	Firms, markets, and policies adapt to predictable behavioral patterns

This week: preferences mapped to labor supply timing, effort intensity, savings, and training completion.

Preference choice object

$$a_i^B \in \arg\max_{a \in \mathcal{A}_i} \tilde{U}_i(a; \beta_i, \rho_i, r_i, \eta_i)$$

Parameter	Interpretation
β_i	present bias and self-control
ρ_i	risk exposure or curvature relevant for saving, pay, and training
r_i	reference point for earnings, effort, targets, or evaluations
η_i	social preferences, reciprocity, fairness, employer surplus

Present bias

$$U_t = u(c_t, \ell_t) + \beta \sum_{\tau=t+1}^{T} \delta^{\tau-t} u(c_\tau, \ell_\tau), \qquad \beta \in (0, 1]$$

- Preference object: current utility receives extra weight relative to future utility.
- Labor margin: effort today, hours timing, training completion, saving now.
- Empirical design: compare planned or committed future behavior to realized behavior when current costs arrive.
- Key caution: distinguish self-control from liquidity constraints, fatigue, and learning.

Commitment demand at work

Object	Operationalization	Observed margin
Self-control problem	Choice of dominated or restrictive work contract	Output and contract take-up
Payday timing	Effort around paydays	Daily or weekly productivity
Training commitment	Deadlines, deposits, cohorts	Attendance and completion
Savings commitment	Payroll deduction or default enrollment	Participation and contribution rates

Kaur, Kremer, and Mullainathan make commitment a labor-design object: the question is not only whether incentives work, but whether workers value discipline against future selves.

Savings and self-control in work-linked environments

- Savings is labor-relevant when tied to employment, payroll systems, retirement, or worker planning.
- Default enrollment designs observe participation and contribution behavior.
- Savings-incentive designs observe take-up and contribution response when returns become salient.
- Interpretation problem: low saving can reflect procrastination, transaction costs, information, liquidity, or true low demand.

Risk aversion: keep it worker-side

Labor object	Preference role	Design burden
Retirement saving	Precaution and portfolio risk	Separate risk tastes from information and default effects
Variable pay	Exposure to output or earnings risk	Separate risk aversion from effort costs and selection
Training	Uncertain returns to self-investment	Separate risk from credit constraints and expected returns

Risk aversion matters here, but it should not turn Week 2 into an occupational-sorting lecture.

Reference dependence and loss aversion

$$u(x \mid r) = m(x) + \mu(m(x) - m(r))$$

- Preference object: outcomes are evaluated relative to a reference point.
- Labor margin: target labor supply, performance after wage disappointment, training milestones.
- Identifying variation: earnings targets, arbitration shocks, wage expectations, target changes.
- Caution: rule out standard nonlinear incentives, income effects, fatigue, learning, and composition.

Social preferences and workplace effort

$$U_i = w_i - c(e_i) + \eta_i S(e_i, \pi_f, g_f)$$

- Preference object: worker utility includes fairness, reciprocity, employer surplus, or social meaning.
- Labor margin: effort, productivity, extra work, cooperation.
- Identifying variation: gifts, employer returns, whether work benefits the employer, pay framing.
- Caution: distinguish social preferences from monitoring, repeated-game incentives, and selection.

Empirical designs and what they identify

Preference	Variation	Margin	Main threat
Present bias	contract choice, payday timing, deadlines	effort, completion	liquidity, fatigue
Commitment	restrictive contracts, defaults, deposits	take-up, future action	selection, monitoring
Savings self-control	default enrollment, match incentives	participation, contribution	information, transaction costs
Reference dependence	targets, arbitration, wage surprises	hours, performance	standard incentives
Social preferences	gifts, employer surplus, pay framing	effort, productivity	career concerns, supervision

Welfare and policy interpretation

- Present bias: ex ante and ex post selves can disagree.
- Commitment: restrictions can raise effort while reducing future flexibility.
- Defaults: participation may rise without proving every worker is better off.
- Reference dependence: welfare depends on how reference points are formed or manipulated.
- Social preferences: higher effort can be meaningful motivation, costly pressure, or surplus transfer.

Week 2 lab

- Reproduce: synthetic Kaur-Kremer-Mullainathan-style workplace self-control factbook.
- Diagnose: contract choice, output, payday timing, and alternative explanations.
- Transfer: synthetic work-linked savings default design.
- Challenge: Mas-style pay reference points and performance.

Bridge to Week 3

- Week 2 treats behavior as a preference problem.
- Week 3 asks when the observed behavior is instead a beliefs or expectations problem.
- Core next margins: job search, perceived returns, wage expectations, and training payoffs.
- Same empirical habit: object, margin, variation, counterfactual, welfare.

Takeaways

- Nonstandard preferences become labor economics only when mapped to concrete worker-side margins.
- Present bias, commitment, reference dependence, and social preferences imply different empirical designs.
- Savings and training are labor-facing when connected to work, payroll, retirement, and self-investment.
- Welfare requires more than an observed behavioral response.